

is produced, controlled and managed by national governments and unlike gold or silver currency has no intrinsic value. For example, a 100 rupee note is not produced from materials that are valued the same as its face value but is valued because it is a fiat currency supported by the government.

Veil of money

Almost all forms of modern currency are fiat currencies or currencies dependent on fiat currencies. The veil of money relates to the question of whether money itself is like other commodities (like gold) or does it have any intrinsic quality of its own. Over time this theory has gone from saying that money by itself is useless and is only of value in exchange of actual goods or services to the current belief that it is simply a store of credit and holds value when it is treated as valuable. In economic studies it takes on a more technical meaning related to interest rates and monetary policy by the government.

Central banks

A central bank or reserve bank is the main authority within a nation that manages a country's money supply as well as its production and manipulation through interest rates and other enforcements of monetary policy. It is created to administer and guide the commercial banking activities in a country along with the power to penalise and punish fraudulent acts. They are not directly controlled by government agents and function with a mixed authority from the executive and legislative branches of government. In India, the Reserve Bank of India has this duty.

Tinkerbelle effect

The Tinkerbelle effect gains its moniker from a character in the play Peter Pan, where a fairy - Tinkerbelle - exists only as long as people believe in the existence of fairies. The similar association is made in economics between money and its value. Money is valuable as long as people continue to believe that it has value.

Friedman rule

The Friedman rule is a technical concept in monetary policy, named after economist Milton Friedman. The rule is meant to define an association between interest rates set by central banks and the money supply in the market. The rule says that the interest rate should be such that the money